

National Summary

Overall Economic Activity

Economic activity rose slightly in most Districts. Three regions exhibited modest or moderate growth that offset flat or slightly declining activity in two others. Though growth in economic activity was generally small, expectations for growth rose moderately across most geographies and sectors. Business contacts expressed optimism that demand will rise in coming months. Consumer spending was generally stable. Many consumer-oriented businesses across Districts noted further increases in price sensitivity among consumers, as well as several reports of increased sensitivity to quality. Spending on home furnishings was down, which contacts attributed to limited household mobility. Demand for mortgages was low overall, though reports on recent changes in home loan demand were mixed due to volatility in rates. Commercial real estate lending was similarly subdued. Still, contacts generally reported financing remained available. Capital spending and purchases of raw materials were flat or declining in most Districts. Sales of farm equipment were a notable headwind to overall investment activity, and several contacts expressed concerns about the future prices of equipment given ongoing weakness in the farm economy. Energy activity in the oil and gas sector was flat but demand for electricity generation continued to grow at a robust rate. The rise in electricity demand was driven by rapid expansions in data centers and was reportedly planned to be met by investments in renewable generation capacity in coming years.

Labor Markets

Employment levels were flat or up only slightly across Districts. Hiring activity was subdued as worker turnover remained low and few firms reported increasing their headcount. The level of layoffs was also reportedly low. Contacts indicated they expected employment to remain steady or rise slightly over the next year, but many were cautious in their optimism about any pickup in hiring activity. Wage growth softened to a modest pace across most Districts, as did expectations for wage growth in coming months. Job growth and wage growth for entry-level positions and skilled trades were an exception, rising robustly and expected to grow further through next year.

Note: This report was prepared at the Federal Reserve Bank of Kansas City based on information collected on or before November 22, 2024. This document summarizes comments received from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

Prices

Prices rose only at a modest pace across Federal Reserve Districts. Both consumer-oriented and business-oriented contacts reported greater difficulty passing costs on to customers. Input prices were said to be rising faster than selling prices for most businesses, resulting in declining profit margins. Although input prices rose generally, contacts in several Districts noted declines in certain raw materials and non-labor costs. In contrast, rising insurance prices were again reported widely as significant costs pressures for many businesses. Contacts indicated they expect the current pace of price growth to persist, but businesses in several Districts indicated tariffs pose a significant upside risk to inflation.

Highlights by Federal Reserve District

Boston

Economic activity was down a bit on balance. Prices increased at a slight pace. Employment held steady despite a slowdown in hiring demand. Consumers held back on restaurant spending. Warm, dry weather crimped demand for selected goods. Commercial real estate contacts perceived stabilization in the office sector. Expectations were mixed, marked by uncertainty among many contacts.

New York

On balance, regional economic activity expanded slightly, led by strong growth in the manufacturing sector. Employment in the region grew slightly, and wage growth remained moderate. Commercial real estate markets steadied after a period of weakness, with a pickup in demand in the New York City office market. Selling price increases remained modest.

Philadelphia

Business activity edged up in the current Beige Book period after falling slightly last period. Consumer spending was flat overall, but the broader nonmanufacturing sector edged up, and manufacturers reported modest growth. Employment, wages, and prices all rose modestly, but inflation expectations edged higher over concerns about potential tariffs. On average, firms expect moderate economic growth over the next six months.

Cleveland

District business activity grew modestly in recent weeks, and contacts expected activity to increase further in the months ahead. Demand for business services remained robust, and non-residential construction activity increased modestly. Employment levels grew slightly. Overall, contacts indicated that wages, nonlabor input costs, and prices increased modestly.